Marketing Acquisition Analysis - Findings and Recommendations

Objective

The goal for this analysis was to evaluate Monarch's acquisition performance across channels, platforms, and pricing strategies to identify opportunities to improve conversion efficiency, reduce wasted spend, and maximize long-term value.

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1. Channel Performance: Volume vs Value

Key Findings

- Search and affiliate-driven channels (Google Ads, Bing Ads, Impact Affiliates) consistently deliver:
  - Strong signup to paid conversion
  - Stable CAC
  - Positive ROAS and high LTV:CAC ratios

- Facebook Ads and Google UAC significantly underperform:
  - Facebook Ads are value-negative on ~97% of cohort days
  - Google UAC is value-negative on ~80% of cohort days
  - Both channels exhibit frequent extreme CAC spikes, indicating instability rather than one-off issues

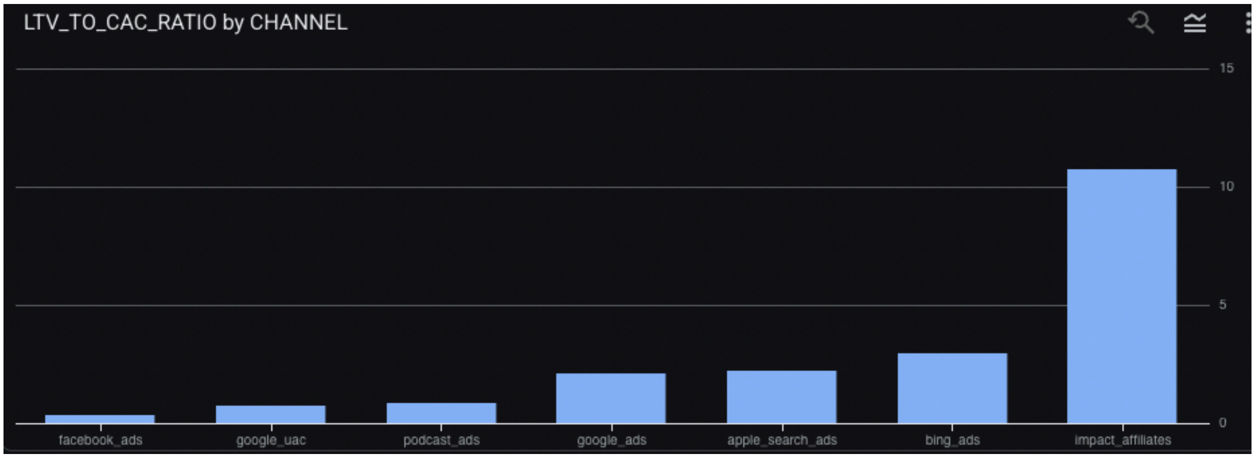
Interpretation

Underperformance in Facebook and Google UAC is persistent and structural, not driven by short-term noise. In contrast, search and affiliate channels are predictable, scalable, and value-positive.

Recommendation

- Prioritize incremental spend toward search and affiliate channels
- Constrain or tightly control spend in Facebook Ads and Google UAC until funnel efficiency improves or alternative success metrics are defined.

LTV:CAC by Channel



Search and affiliate channels consistently generate more lifetime value per dollar spent, while Facebook Ads and Google UAC are value-negative under the current acquisition model.

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2. Funnel Health: Where Conversion Breaks

Key Findings

- The largest drop-offs occur early in the funnel, particularly:
  - Signup to trial starts
  - Trial to paid variess significantly by segment
- Conversion velocity is generally fast, but differs meaningfully by channel and platform

Interpretation

Downstream inefficiencies are often caused by early activation and onboarding friction, rather than pricing or late-stage monetization issues.

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3. Signup Client Platform: A Major Driver of Performance

Key Findings

Signup platform has a large impact on conversion efficiency:

- Web: ~64%
- Mobile Web: ~39%
- iOS: ~27%
- Android: ~10%

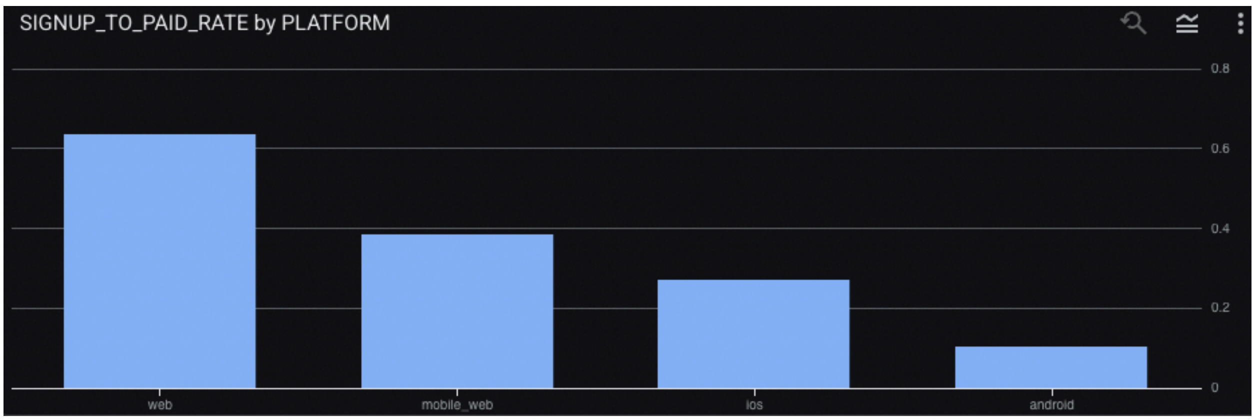
Interpretation

Platform experience and user intent matter more than channel alone. Channels that skew heavily toward app traffic (Facebook, Google UAC) are disproportionately affected by weaker platform conversion.

Recommendations

- Focus funnel optimization efforts on ANdroid and iOS onboarding
- Consider platform-aware acquisition strategies (differnt landing flows or expectations)

Signup to Paid conversion rate by signup platform



Signup platforms have a major impact on conversion efficiency, with web signups converting more than six times better than Android signups.

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4. CAC, ROAS, and Value Creation

Key Findings

- Impact Affiliates, Google Ads, and Apple Search Ads consistently generate positive ROAS and strong LTV:CAC ratios
- Facebook Ads and Google UAC show:
    - High CAC per paid subscriber
    - Low ROAS
    - Persistent value-negative outcomes

Interpretation

Inefficient channels are not just more expensive - they are less predictable and harder to control, making them difficult to scale.

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5. Pricing & Discounting Insights

Discount Depth
- Deeper discounts improve efficiency (LTV per dollar) but reduce absolute LTV
- 30% discounts appear to balance efficiency
- 50% discounts are highly efficient but cap long-term value

Plan Period
- Yearly subscribers generate higher total lifetime value than monthly subscribers
- Monthly plans appear extremely efficient due to low upfront price, but this reflects pricing math rather than superior monetization

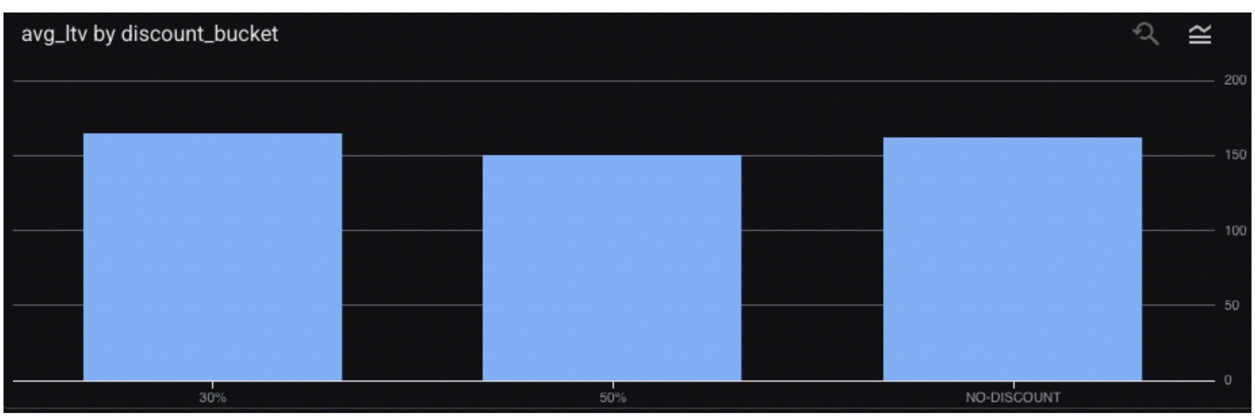
Platform x Pricing
- Discount depth is consistent across platforms
- Despite similar pricing incentives:
  - Web and mobile web users generate much higher LTV
  - iOS and Android users underperform even with comparable discounts

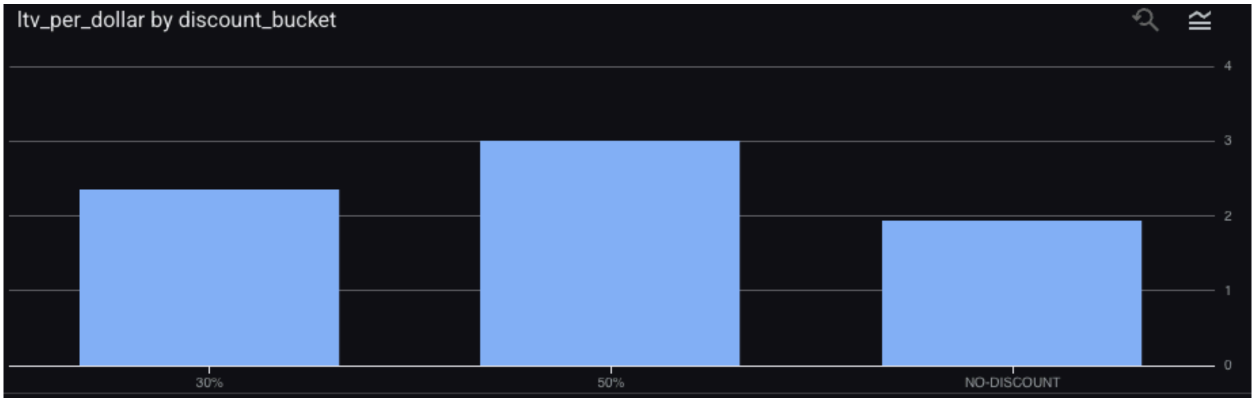
Interpretation

Pricing is not the root cause of channel or platform underperformance. Funnel quality and user intent dominate.

Recommendations
- Use targeted discounting, not blanket discounts
- Avoid discounts as a substitute for weak funnel performance
- Continue emphasizing yearly plans as the primary value driver

Discount Depth vs Value





Larger discounts improve efficiency (LTV per dollar) but reduce absolute lifetime value, suggesting discounting should be targeted rather than universally applied.

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6. Anomalies & Validation

Key Findings

- Value-negative spend and extreme CAC spikes are heavily concentrated in Facebook Ads and Google UAC
- Attribution leakage into ‘other’ does not explain Facebook’s underperformance
- Results are consistent across multiple independent checks

Interpretation

Observed inefficiencies are real under the current attribution model and not driven by data eros or one-off anomalies.

Final Recommendations

1. Reallocate spend toward search adn affiliate channels with consistent value creation
2. Constrain Facebook Ads and Google UAC until funnel efficiency improves
3. Invest in platform-specific funnel optimization, especially Android and iOS
4. Apply discounts strategically, aligned to channel and user intent
5. Maintain focus on yearly subscriptions for long-term value

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What I’d Explore Next

With additional time or data, I would:

- Analyze assisted conversions to better capture upper-funnel impact
- Compare churn and renewal behavior by plan type
- Evaluate creative, audience, or landing-page-level performance within underperforming channels

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Closing Note

This analysis shows that acquisition efficiency at Monarch is driven less by pricing tactics and more by channel quality, platform experience, and funnel health. Optimizing these areas presents the strongest opportunity for sustainable growth.